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ISBA 3305 - SDLE 9/18
Cloud Repatriation

Term or Concept	Definition	Example	Sources/Citations
Cloud Repatriation	Cloud repatriation is when a company takes workloads it had been running on a public cloud like AWS or Azure and moves them back onto servers it owns or rents space for in a colocation data center. It is not a full rejection of the cloud. Usually the company keeps the spiky, unpredictable stuff in the cloud and only pulls back the steady workloads that run at the same level all day, since those are the ones where the pay-as-you-go premium stops making sense.	37signals (the company behind Basecamp and HEY) left AWS in 2023 after their cloud bill hit about \$3.2 million in a single year. They bought their own Dell servers, put them in a Deft colocation facility, and finished the move in about a year. They now say they will save over \$2 million per year, and the last piece, moving 10 petabytes out of S3, was planned for 2025.	Hansson, D. H. (2022, October 19). Why we're leaving the cloud. 37signals. https://world.hey.com/dhh/why-we-re-leaving-the-cloud-654b47e0 Hansson, D. H. (2023, October 27). We have left the cloud. 37signals. https://world.hey.com/dhh/we-have-left-the-cloud-251760fb Laudon, K. C., & Laudon, J. P. (2022). Management information systems: Managing the digital firm (17th ed.). Pearson. Wang, S., & Casado, M. (2021, May 27). The cost of cloud, a trillion dollar paradox. Andreessen Horowitz. https://a16z.com/the-cost-of-cloud-a-trillion-dollar-paradox/

Essay:

For this SDLE I picked cloud repatriation, because it goes against the assumption I had coming into this class that every company wants out of its data center as fast as possible. The chapter lays out the CapEx vs OpEx argument pretty clearly: stop buying servers that depreciate and just pay for what you use. That argument is real, but it only works when your usage actually changes a lot. If a workload runs at roughly the same level all day, every day, you are paying a rental premium on hardware that never gets a break.

That is what happened to 37signals. Their AWS bill came out to around \$3.2 million in one year, and Hansson pointed out that a good chunk of that was for capacity that sat idle. So in 2023 they bought their own Dell servers, put them in a colocation facility, and moved Basecamp and HEY off AWS in under a year. Their claim is they will save more than \$2 million a year, and the hardware pays for itself in about the time a reserved instance contract would have run anyway. The one thing that stuck with me is that they said the cloud was still the right call when they were starting out and had no idea how big they would get. Repatriation only made sense once their growth was predictable.

I do not think this means the cloud is a bad deal. The a16z piece estimates public companies leave billions in market value on the table by overpaying for cloud, but it also admits nobody wants to run their own hardware at the beginning. What I take from it is that infrastructure decisions are less about picking a side and more about matching where your workload is in its life cycle. That feels like the actual point of the hybrid cloud discussion we are covering on the 18th.